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anjeev Krishan, 51, has long been regarded as PwC's go-to man for business deals in India. He rose from an articled trainee

to occupy the top job at the consulting major in January last year. As Chairman of PwC in India, he is developing capacity to help the corporate sector with digitalisation, risk management, ESG compliance, and the supply chain network. In a conversation with *Business Today's* Sourav Majumdar and Anand Adhikari, Krishan talks about how India Inc. is dealing with the current difficult period of rising prices and interest rates globally. Edited excerpts:

Q: What is your sense of how India is coping with the current challenges? What are the key things it should watch out for?

A: From India's perspective, whenever there is a US rate hike, India, unfortunately, has to mirror it. The good news is that India is still in a good position. Over the last two and a half years, most large Indian corporations have significantly de-leveraged their balance sheets. The balance sheets today are much stronger than they were prior to Covid-19. As a result, they are in a far better position to withstand any of the current challenges. The Insolvency and Bankruptcy Code and the consolidation have helped to a large extent. As long as the demand remains, I don't see a big challenge for India Inc. at this point in time.

The government itself has put out a significant amount of money for the revival of the capital cycle. We should see an uptick in capital expenditure, particularly on the back of public capital. I would like to believe that it is going to help the private sector have the confidence to enhance [its capacity]. From a geopolitical perspective, there are two other things that are playing out very well for India. I think India's reasonably neutral stand has helped us. We have managed to benefit from the low crude oil prices from

Russia. Clearly, India is in a sweeter spot. The ability to do that [business] at scale and the presence of a huge local market positions India quite well. If everybody starts to think about localising manufacturing and even localising services at some point in time, India's demographic dividend will come into play. I'm very positive about the whole captive space in India because that's where the demographic dividend is going to show up. Globally, a big challenge is the shortage of right-, high-quality talent at an affordable cost.

Q: Demand is also a function of interest rates, which are on the rise. There is talk of a recession in the US. Don't you think at some point demand will be crimped as a result?

A: As a student of economics, all I would say is that if the differential between the US and Indian rates is beyond 6 per cent, it is going to create challenges for the currency. Today, we are almost at 4.9 per cent in terms of the benchmark repo rate. I believe that we could go up to 160 basis points higher in the next nine months, whereas the composite effective federal funds rate is 2.33 per cent. The RBI is already squeezing a lot of liquidity from the system to control inflation. To my mind, a large part of the inflation problem is supply driven. Inflationary pressure is primarily caused by a supply-side anomaly... In a globalised world, the sup-

| 57

“The dry powder available globally has recently crossed \$900 billion. Just as globalisation is a disruptor, there is so much private capital available globally that it is also a disruptor”

ply is in some places [countries] and the demand is in others. How will you make sure this changes? Today we are talking about creating local capacity, but it will not be created immediately... That's the piece we are missing—that a large part of inflation is supply driven. And we need to make enough efforts so that supply-side challenges get sorted out.